

EG CONFERENCE CALL NOTES: MENA Crisis Update

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CONFERENCE CALL NOTES

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MENA Crisis Update

* The Shaky Peace basecase is over. Eurasia Group has shifted to a 55% basecase of continued US-Iran escalation through mid-August, with Strait of Hormuz traffic already falling to 5–15% of pre-war levels.

* Oil prices have moved into a \$75–\$95/bbl range under the current low-intensity standoff, while the escalatory base case points to a \$90–\$110 band, with upside risk if Bab el-Mandeb is also disrupted.

* Iran's core demand — permanent control over Hormuz — is non-negotiable under the current regime, and the US will likely have to accept some form of divided control as the long-term equilibrium.

This is an AI-generated summary based on the call transcript. A full transcript , audio , video , and slides from this call are available. You can access other Eurasia Group conference calls through a personalized link for select podcast readers [here](#) .

Speakers:

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Scenario Shift: Shaky Peace Is Over

Eurasia Group has retired its Shaky Peace base case. The US rescinded Iran's oil sanctions waiver and announced a resumption of its blockade of Iran, effective this afternoon. Combined with intensified skirmishing — including Iranian attacks on at least two UAE oil tankers — these moves rendered the Memorandum of Understanding (MOU) reached in late June functionally moot.

The new scenario framework:

* 55% base case: Continued escalation by both the US and Iran through mid-August. The US is expected to expand its strike campaign beyond coastal military targets. Iran retaliates, including potential strikes on Gulf Cooperation Council (GCC) energy infrastructure and activation of the Houthi front.

* Residual scenario: A low-intensity dueling blockade standoff — both sides resume their pre-MOU postures without significant further escalation.

A key driver of the base case is that diplomatic channels are quiet. Talks between Iran and Oman over the weekend produced no progress on the core issue of Iran's status in the strait.

Oil Price Outlook

The prior price range of \$65–\$80/bbl assumed the Shaky Peace held. That assumption is gone.

* Current range: \$75–\$95/bbl, reflecting the resumed closure and elevated risk premium. Brent front month moved from the low \$70s to approximately \$84/bbl in the 24 hours preceding the call.

* Escalatory basecase range: \$90–\$110/bbl, tracking closer to war-period pricing.

* Upside risk: If the Houthis move to close the Bab el-Mandeb, the additional 3.5–4.5 million barrels per day (bpd) of Red Sea flow at risk could push prices above \$110.

* Why not higher than \$110: Markets remain relatively well-supplied through end of August. Chinese import demand is depressed and likely to stay so. The Chinese Strategic Petroleum Reserve (SPR) is estimated at 1.2–1.5 billion barrels, providing a significant demand-side buffer. The US has roughly four to six weeks of SPR drawdown capacity remaining before structural constraints bind. The forward curve is already shifting from contango into backwardation, reflecting some of this tightening.

Moving into fall, if traffic through Hormuz remains depressed and Iran succeeds in hitting regional energy infrastructure, prices could breach the \$110 ceiling.

Iranian Strategy and Capabilities

Iran's core objective — permanent control over Hormuz, including authority over who transits and on what terms — is the primary driver of this escalation, distinct from earlier phases of the conflict.

Iran has demonstrated the ability to disrupt strait traffic even under sustained bombardment. Key capabilities include anti-ship ballistic missiles (ASBMs), cruise missiles, fast boats, mines, and fiber-optic drones capable of targeting bridge stations, engine rooms, and rudders on large vessels. The Iranians also possess Maneuvering Reentry Vehicles (MARVs) — re-entry vehicles with hypersonic terminal-phase maneuverability — which have proven difficult to intercept and were used to target US military bases. Countering MARVs requires Terminal High Altitude Area Defense (THAAD) systems, which are increasingly in short supply.

Strait traffic has already fallen from 20–40 transits per week to 5–12, per Kpler. The Joint Maritime Information Center (JMIC) and the International Maritime Organization (IMO) have both raised threat levels and discouraged transits.

The current Iranian leadership is highly risk-acceptant, viewing military force as its primary strategic lever. Domestic economic deterioration — rolling blackouts, rising inflation, a weakening rial — has not moderated this posture. The regime retains a vocal hardline base supportive of aggressive tactics.

US Posture and Constraints

Trump's willingness to re-escalate is higher than most observers anticipated. Key factors:

- * Midterms aren't a priority: Trump is more concerned with being seen as having secured a strong deal than with down-ballot political risk in the midterms.
- * Economic buffer: US refined product stockpiles (diesel, gasoline) remain above key thresholds, providing roughly a month and a half to two months of demand cushion. Lower energy prices during the MOU period also reduced US inflationary pressure, creating additional room to act.
- * Military constraints: The US has spent down a significant portion of guided munitions (Tomahawks) and air defense interceptors (Patriots, SM-3s, SM-6s, Aegis, THAAD). Magazine depth remains, but sustaining open-ended conflict is not viable. This defines the mid-August window.
- * Congressional leverage: Trump has notified Congress of resumed military action, claiming a reset of the 60-day clock under the War Powers framework. Democrats dispute this. The more meaningful lever is contingency military funding, which is running low and cannot be replenished until year-end — giving Congress real, if indirect, influence.
- * Drone adaptation: The US deployed its first autonomous suicide drone boat attack into Bandar Abbas, destroying a submarine pen. This signals growing US capability to sustain lower-cost, lower-risk engagements.

The long-term US end state likely involves accepting some form of divided or contested control of Hormuz, with the Navy providing selective escort protection — particularly through the Omani Channel — rather than full denial of Iranian influence.

GCC: Increasing Exposure, Differentiated Impact

GCC states are no longer uniformly counseling restraint. After weeks of Iranian attacks on Kuwait, Bahrain, Qatar, and Oman — while Saudi Arabia and the UAE have been largely spared — smaller states have shifted toward supporting more decisive US action.

UAE exception: The UAE has not been targeted. Speculation about a \$10 billion Iranian asset unfreeze (reported by Reuters) was not confirmed by Eurasia Group's contacts. The more likely explanation: UAE financial channels provide economic breathing room for Iran, and the Iranians prefer to keep this a US-Iran-Israel confrontation rather than a GCC-Iran one. However, this protection for the UAE is expected to erode if US strikes on Iran intensify.

GCC target set: Iranian retaliation against GCC infrastructure will likely mirror the US target set in Iran. If the US strikes civilian infrastructure or energy assets, reciprocal Iranian attacks on GCC energy infrastructure — including potentially in the Eastern Province of Saudi Arabia — are expected. Iraqi militias represent an additional vector, having targeted Saudi and Kuwaiti infrastructure in prior rounds.

Saudi-Houthi escalation: The Houthis, backed by Iran, flew a delegation to Supreme Leader Ali Khamenei's funeral on an Iranian Mahan Air flight in violation of Saudi-enforced restrictions on Houthi-controlled airspace. When the delegation attempted to return, the Saudis struck Sanaa airport. The Houthis responded with a strike on Abha airport in southern Saudi Arabia. Eurasia Group expects this escalation to remain limited: the Houthis want economic concessions from Riyadh, not an extended war. Saudi Arabia holds north of 8,000 Patriot interceptors and is well-positioned to defend against

incoming missiles, though Iranian MARV-equipped missiles remain a higher-order threat.

Longer-term GCC strategy: Three tracks — detente after the coming two to three weeks of intense action; deterrence investment (one to three years to build effective capability as Iranian capacity degrades); and diversification away from Hormuz dependency via expanded pipeline and port infrastructure (Fujairah pipeline capacity expansion, new Fujairah port, Saudi, Qatari, and Kuwaiti alternatives).

Key Watch Items

1. US strike escalation: Whether the US expands its target set from Iranian coastal military assets to civilian or energy infrastructure — the trigger for broader GCC blowback.
2. Houthi activation: Whether the Houthis move to disrupt Red Sea shipping through the Bab el-Mandeb, which would compound Hormuz disruption and push prices above \$110.
3. Diplomatic channels: Any resumption of Omani or other mediation efforts addressing Iran's demand for permanent Hormuz authority — currently quiet.
4. Congressional funding: Progress on contingency military funding replenishment, which shapes the US's ability to sustain operations beyond the current window.
5. Iranian MARV use against GCC: Whether Iran deploys MARV-equipped missiles against Saudi infrastructure at Yanbu or elsewhere — the key differentiator between the standoff and full escalation scenarios.
6. Strait traffic volumes: Whether transits remain in the 5–15% of prewar traffic range or deteriorate further; Kpler data is the primary real-time signal.

What Clients Are Asking

Iranian control of the Strait — what does Iran actually want? Iran wants permanent authority over who transits Hormuz and a monetary reward beyond nominal transit fees. This goes beyond compromise solutions currently being floated by Oman and the GCC, and Iran is willing to hold this position for a prolonged period.

Why has the UAE been spared from Iranian attacks? The Reuters-reported \$10 billion asset unfreeze was not confirmed by Eurasia Group's sources. The more credible explanation is that UAE financial channels serve Iranian economic interests, and Iran prefers to frame this as a US-Iran-Israel conflict rather than a GCC-Iran one. The UAE's immunity is expected to erode if escalation intensifies.

What is the realistic end state for Hormuz? A "hot ceasefire" is more likely than a durable agreement — continued contested control of the strait, with the US providing selective naval escorts and accepting that Iran retains meaningful influence. A clean resolution analogous to the MOU is unlikely given how quickly that deal collapsed.

What are the risks to GCC energy infrastructure? Iranian retaliation against GCC infrastructure is expected to mirror US targeting in Iran. Iraqi militias represent an additional threat vector beyond direct Iranian strikes. The Saudi Patriot stockpile provides meaningful defense, but MARV-equipped Iranian missiles remain a harder intercept problem.

How long can the US sustain military operations? The window runs until approximately mid-August, when contingency funding constraints, munitions stockpile drawdown, and the SPR buffer will become issues. Congressional leverage over additional military funding — not midterm politics — is the binding constraint on Trump's freedom of action.

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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